

TD Bank — AML Enforcement Cycle

LLM-annotated signals · 3,829 chunks · FY2021Q1 — FY2026Q1 · source: nlp_features.parquet

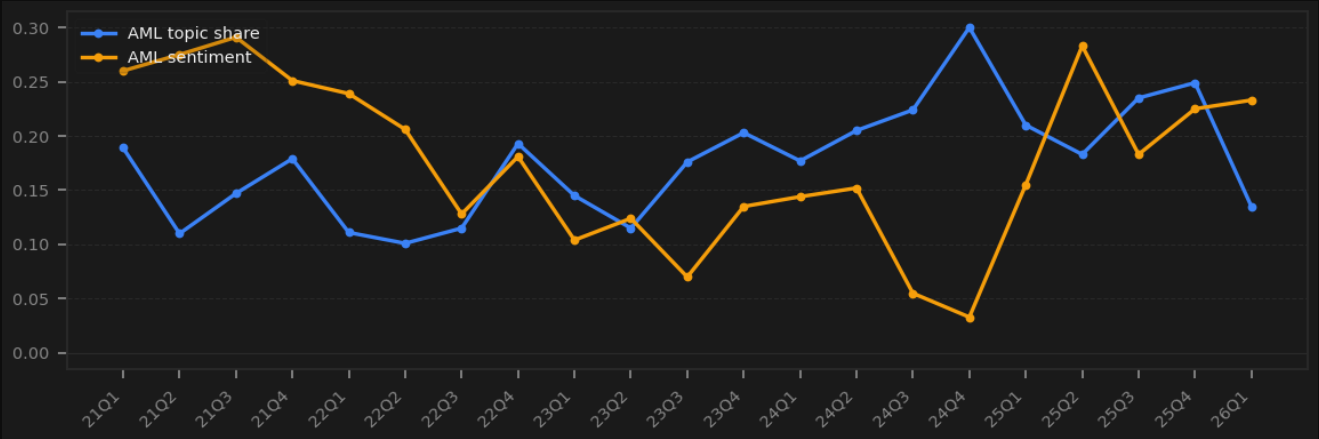
Phase 1 — Pre-AML Build-up	Phase 2 — Peak Enforcement	Phase 3 — Recovery
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Phase 1 — Pre-AML Build-up

From FY2022Q3 onward, AML topic share climbed while sentiment on that topic fell — documents discussed regulatory matters more often and with steadily less confidence. Both signals moved monotonically for eight consecutive quarters before the consent order.

+170% AML topic share growth (11.1% → 30.0%, FY2022Q1 → FY2024Q4)	−86% AML sentiment decline (0.239 → 0.033, FY2022Q1 → FY2024Q4)	8 qtrs Consecutive quarters of monotonic deterioration
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AML topic share vs AML sentiment — diverging trends signal building pressure



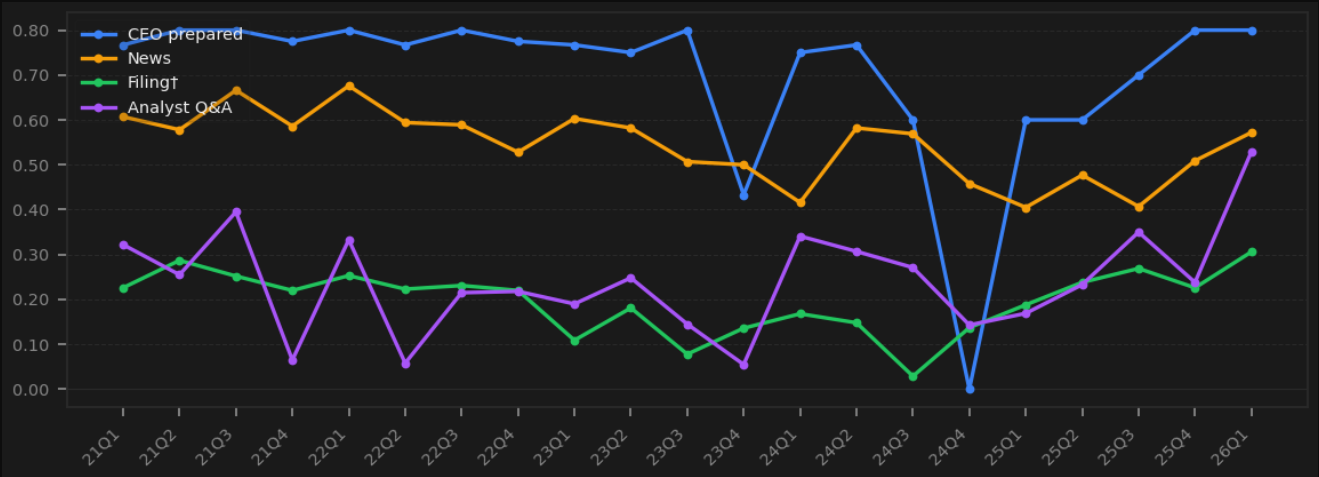
Both series on 0–1 scale (fraction). Crossover visible from FY2023Q2: share continues rising while sentiment falls through, converging near zero by FY2024Q4.

Phase 2 — Peak Enforcement

FY2024Q4 (Oct 10, 2024): CEO prepared remarks collapsed to 0.000 — the only zero in 21 quarters. Both the CEO–News and CEO–Analyst gaps inverted, flipping the normal channel hierarchy for the first and only time in the dataset.

−100% CEO sentiment drop vs FY2024Q3 (0.600 → 0.000)	−0.63 pts CEO–News gap swing (normal +0.17 → inverted −0.46)	−0.67 pts CEO–Analyst gap swing (normal +0.53 → inverted −0.14)
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Sentiment by channel — CEO, News, Analyst Q&A;, and Filing (21 quarters)



Normal order: CEO (top) → News → Filing → Analyst (bottom). At 24Q4, CEO collapses to zero — below all three channels. Framing gap (CEO – Filing) inverts to -0.137 at 24Q4 (only negative framing gap in the dataset). By 26Q1, analyst sentiment (0.529) nearly closes the gap with CEO (0.800). † Q4 filing = annual 40-F.

Channel	FY2024Q3	FY2024Q4	Change
CEO prepared remarks	0.600	0.000	−0.600
Analyst Q&A;	0.271	0.143	−0.128
News sentiment	0.569	0.458	−0.111
Filing sentiment†	0.029	0.137	+0.108

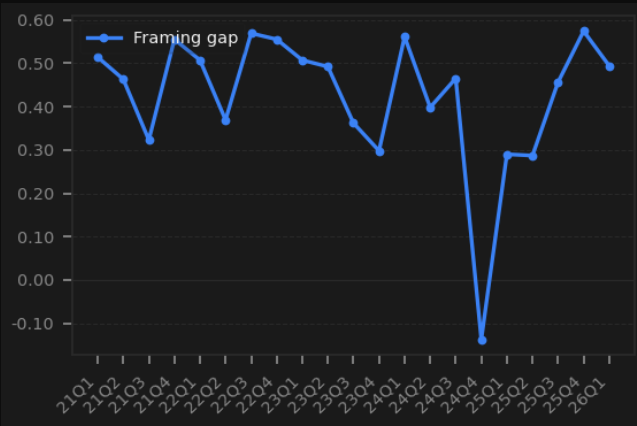
Phase 3 — Recovery Signal

Two independent signals confirmed the recovery: the framing gap returned to 91% of its pre-crisis baseline, and guidance topic share more than doubled from the enforcement trough — management resumed making forward commitments immediately after resolution.

91% Framing gap recovery vs pre-crisis baseline (+0.49 of +0.54 avg)	+102% Guidance share rebound (8.8% trough → 17.8% peak, 5-yr high)	0.529 Analyst Q&A; FY2026Q1 — dataset high (scrutiny → constructive)
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Framing Gap (CEO prep – filing)

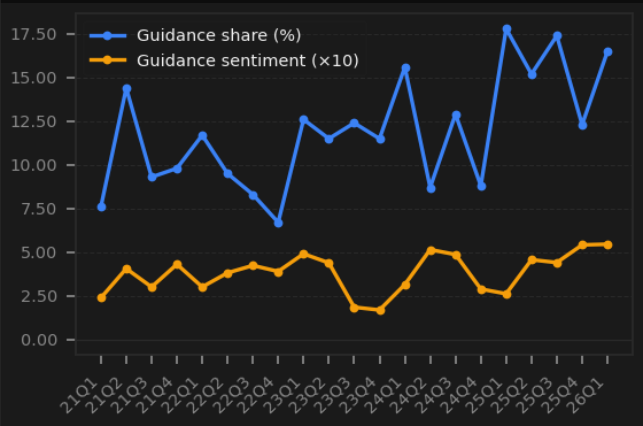
Positive gap = CEO above filings (normal). Pre-crisis baseline avg: +0.54. Only negative quarter: FY2024Q4 (–0.137). FY2026Q1 at +0.49 = 91% of baseline.



Q4 rows use 40-F annual filing as proxy — full-year narrative, not Q4-only.

Guidance Topic Share & Sentiment

Share = % of annotated chunks tagged guidance. Trough 8.8% at FY2024Q4, dataset peak 17.8% at FY2025Q1 (+102%). Sentiment (×10 scaled) recovering to 0.545.



Guidance sentiment scaled ×10 for visual comparability with share (%). Raw sentiment range: 0.168 (FY2023Q4) → 0.545 (FY2026Q1).

All figures from nlp_features.parquet. FY2026Q2 excluded (news-only, incomplete quarter). Filing series: quarterly report sentiment for Q1–Q3; annual 40-F for Q4 (full-year average, not Q4-only). Framing gap pre-crisis baseline computed from FY2021Q1–FY2022Q4 Q1–Q3 quarters (n=6).